

	Straight Preferred Stocks		Convertible	Listed	
	Rated A or Better	Rated Below A	Preferred Stocks	Common Stocks	Listed Warrants
Advances	2	0	1	2	1
Declines:					
0-10%	3	3	3	4	0
10-20%	14	10	2	1	0
20-40%	1	5	5	6	1
40% or more	0	0	9	7	18
Average declines	10%	17%	29%	33%	65%

(Standard & Poor's composite index of 500 common stocks declined 11.3%.)

The conclusion to be drawn from these figures is not that convertible issues are in themselves less desirable than nonconvertible or "straight" securities. Other things being equal, the opposite is true. But we clearly see that other things are *not* equal in practice and that the addition of the conversion privilege often—perhaps generally—betrays an absence of genuine investment quality for the issue.

It is true, of course, that a convertible preferred is safer than the common stock of the same company—that is to say, it carries smaller risk of eventual loss of principal. Consequently those who buy new convertibles instead of the corresponding common stock are logical to that extent. But in most cases the common would not have been an intelligent purchase to begin with, at the ruling price, and the substitution of the convertible preferred did not improve the picture sufficiently. Furthermore, a good deal of the buying of convertibles was done by investors who had no special interest or confidence in the common stock—that is, they would never have thought of buying the common at the time—but who were tempted by what seemed an ideal combination of a prior claim plus a conversion privilege close to the current market. In a number of instances this combination has worked out well, but the statistics seem to show that it is more likely to prove a pitfall.

In connection with the ownership of convertibles there is a special problem which most investors fail to realize. Even when a profit appears it brings a dilemma with it. Should the holder sell on a small rise; should he hold for a much bigger advance; if the issue is called—as often happens when the common has gone up considerably—should he sell out then or convert into and retain the common stock?*